INTERNAL AI RISK / QUICK REVIEW

Settlement Exception Alert Model

SYNTHETIC

BUSINESS PURPOSE

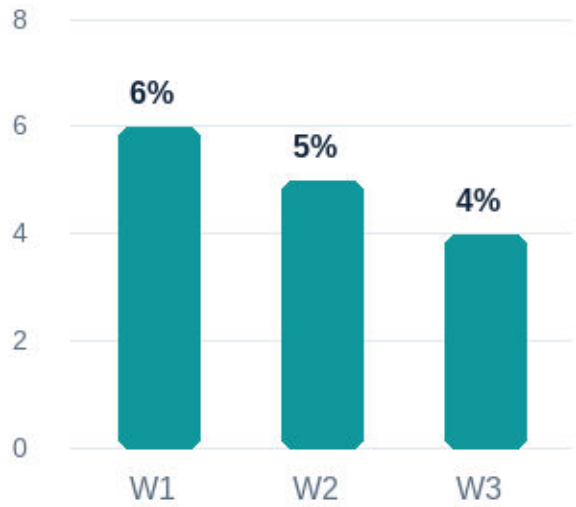
Daily classifier flags settlement instructions at elevated risk of an exception. Alerts are advisory; analysts decide whether to act.

MODEL INVENTORY AND CONTROL FIELDS

Use case	Settlement exception prediction
Owner	Post-Trade Operations
Model type	Gradient-boosted trees
Provider	Internal / in-house
Data sensitivity	Confidential transaction records
Financial criticality	HIGH
Human oversight	Analyst approves any action
Validation results	Passed independent testing, Oct 2026
Residual risk rating	MEDIUM
Incident history	1 low-severity alert issue, Sep 2026
Monitoring frequency	Weekly

FALSE-POSITIVE RATE

Weekly evaluation (lower is better)



Fallback: manual exception queue